



TOTAL KENYA LIMITED

Our Ref: G10.189.0002

22nd August 2012

The Chief Executive
Capital Markets Authority
Embankment Plaza
Upper Hill, Longonot Road
P.O. Box 74800 – 00200
Nairobi

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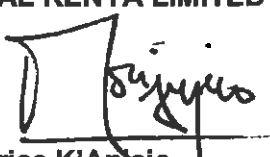
Dear Sir,

RE: TOTAL KENYA LIMITED'S RESULTS AS AT 30TH JUNE 2012

Reference is made to the above.

We enclose the Company's Income Statement, the Balance Sheet, Statement of cash flow, Statement of changes in equity and a brief comment from Management as at 30th June 2012 to be published in the press for your records.

Yours faithfully,
TOTAL KENYA LIMITED


Maurice K'Anjojo
CORPORATE AFFAIRS MANAGER

cc: The Chief Executive Officer
Nairobi Securities Exchange
Nation Centre, 1st floor
NAIROBI

Encl.

TOTAL KENYA LTD			
STATEMENT OF FINANCIAL POSITION			
AS AT 30 JUNE 2012			
	30 June 2012		31 Dec 2011
	KSh'000		KSh'000
ASSETS			
Non current assets			
Property plant and equipment	8,894,350		9,295,581
Deferred taxation	268,530		146,955
Goodwill	416,679		416,679
Total non-current assets	9,579,559		9,859,215
Current assets			
Inventories	16,508,733		12,039,014
Accounts receivable and other assets	7,136,135		11,629,825
Cash and bank balances	603,529		1,670,112
Total current assets	24,248,397		25,338,951
TOTAL ASSETS	33,827,956		35,198,166
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	9,974,771		4,774,771
Share premium	1,967,520		1,967,520
Revenue reserve	2,192,800		2,452,527
Shareholders' equity	14,135,091		9,194,818
Non Current Liabilities			
Medium Term Loan	1,989,000		2,574,000
Long term provisions & deposits	660,027		584,648
Total Non Current Liabilities	2,649,027		3,158,648
Current liabilities			
Medium Term Loan	936,000		702,000
Trade and other payables	5,021,030		10,441,534
Short term borrowings	11,086,808		11,701,166
Total current liabilities	17,043,838		22,844,700
TOTAL EQUITY AND LIABILITIES	33,827,956		35,198,166
TOTAL KENYA LTD			
STATEMENT OF COMPREHENSIVE INCOME			
FOR THE PERIOD ENDED			
	30 June 2012		30 June 2011
Turnover	48,016,798		44,718,976
Indirect taxes	(5,806,117)		(6,358,110)
Net turnover	42,210,681		38,360,866
Gross profit	2,732,820		2,029,460
Other income	172,620		360,367
Operating expenses	(2,054,157)		(1,874,312)
Operating profit	851,283		515,515
Finance costs - net	(1,145,304)		(395,945)
Foreign currency exchange differences	11,200		25,820
(Loss) / Profit before taxation	(282,821)		145,390
Taxation	23,094		(65,680)
Net (Loss) / Profit	(259,727)		79,710

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TOTAL KENYA LTD		
Cash Flow Statement		
For the period ended	30.06.2012	30.06.2011
	KSh'000'	KSh'000'
CASH FLOW FROM OPERATING ACTIVITIES		
Cash used in operations	(3,972,904)	(7,606,960)
Taxation paid	-	(464,100)
Net cash from operating activities	(3,972,904)	(8,071,060)
CASH FLOW FROM INVESTING ACTIVITIES		
Purchase of property, plant and equipment	(186,288)	(242,298)
Proceeds on disposal of property, plant and equipment	3,271	286,965
Net cash (used in) / generated from investing activities	(183,017)	44,667
CASH FLOW FROM FINANCING ACTIVITIES		
Interest paid	(1,145,304)	(395,945)
Dividend paid	-	(313,470)
Medium Term Loan repaid	(351,000)	(351,000)
Proceeds from issuance of preference share capital	5,200,000	-
Net cash generated from / (used in) financing activities	3,703,696	(1,060,415)
Net decrease in cash and cash equivalents	(452,225)	(9,086,808)
CASH AND CASH EQUIVALENTS		
At 1 January	(10,031,054)	(5,022,702)
As at 30 June	(10,483,279)	(14,109,510)


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TOTAL KENYA LTD				
STATEMENT OF CHANGES IN EQUITY				
FOR THE PERIOD ENDED 30 JUNE 2012				
	Share Capital KSh'000	Share Premium KSh'000	Revenue Reserve KSh'000	Total Equity KSh'000
As of 1 January 2011	4,774,771	1,967,520	2,837,562	9,579,853
Dividends declared			(313,470)	(313,470)
Profit for the year			79,710	79,710
As of 30 JUNE 2011	4,774,771	1,967,520	2,603,802	9,346,093
As of 1 January 2012	4,774,771	1,967,520	2,452,527	9,194,818
Issued share Capital	5,200,000			
Dividends declared			-	-
Loss for the period			(259,727)	(259,727)
As of 30 JUNE 2012	9,974,771	1,967,520	2,192,800	14,135,091

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27

MANAGEMENT COMMENTS

The company results for the first half of 2012 can be described as satisfactory given the tough operating environment characterised by high interest and inflation rates. This is in addition to the supply and logistical constraints within the oil industry in Kenya.

The company's sales volume declined by 8 % from 426 KMT in 2011 to 393 KMT in June 2012 resulting from customer portfolio management in response to the changing business environment.

Net turnover went up by 10% (Kes 3,850 million) notwithstanding the reduction in sales volume due to increase in International oil prices and impact of depreciation of the Kenya shilling against the US dollar. Gross profit increased by kes 704 million (35%) resulting mainly from improved margins in both fuels and lubricant sales.

Other income declined by Kes 187 million mainly attributable to fewer assets being disposed as compared to previous year, hence a decrease in gain on disposal while operating expenses were reasonably controlled and increased by only 9.6 % (compared to an inflation of 14.7 % over the period under consideration). Consequently the company realized an improved operating result of Kes 851 million up from Kes 516 million representing a growth of 65%.

Financial expenses increased by Kes 749 million due to sharp increase in interest rates coupled with increased bank borrowing to finance higher working capital requirements.

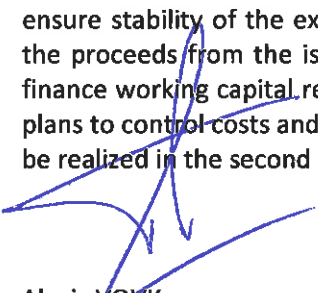
The Company managed to avoid forex losses despite the volatility of the Kenya shilling against the US dollar due to prudent management of risk that has been put in place.

Owing to the fact that the ERC price formula does not fully recognize the real cost of financing the Working Capital Requirement and has not been adjusted for any inflation on costs for the last 18 months, the company as a result realized a net loss after taxation of Kes 260 million in 2012 compared to a profit after tax of kes 80 million for the same period in 2011.

The balance sheet was strengthened with the increase of the Company's paid up share capital by Kes 5,200 million, resulting from the issuance of additional preference shares.

OUTLOOK

There are positive developments on the economic front that have taken place in the recent past, including monetary policies adopted by the Government to control inflation, reduce interest rates and ensure stability of the exchange rate of Kenya shilling against the major world currencies. In addition, the proceeds from the issued preference shares have already reduced bank loans that were taken to finance working capital requirements. Thanks to these developments and the implementation of action plans to control costs and develop non fuel revenues, the management remains optimistic that gains will be realized in the second half of 2012 to bring the company back to profitability.



Alexis VOVK
MANAGING DIRECTOR